GMS WEEKLY

Your Source for Recycling News

October 7th, 2022
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Week 40

Highlights:

- **Into the ether.**
- **Deteriorating.**
- **Hard to gauge.**
- **Frustrating.**
- **Lower LDT.**
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QUOTE of the WEEK

"More is lost by indecision than wrong decision."

– Marcus Tullius Cicero

MARKET COMMENTARY

BYPASSING BEACHES!

Sub-continent markets appear to have disappeared back into the ether for another week, as trading markets rebound and candidates for recycling start to dissipate.

In recent weeks, volatile steel plate prices, a constantly deteriorating currency and starved U.S. Dollar credit lines across India, Pakistan and Bangladesh have all led to a near total halt on buying at anywhere near respectable levels.

As such, it is hard to gauge where prices really stand today, with so few Buyers either having the capabilities to open an L/C & perform on any sizeable vessel, and furthermore, the lack of any sort of confidence to offer and maintain any firm levels.

Even in Turkey, the situation remains unrelentingly gloomy, with little to no movement in any positive direction, all while local sentiments remain depressed on the back of a Lira that has been scraping to record-lows by the week and plate prices that remain in the dumps.

Overall, it has been a frustrating period of time for Cash Buyers with any tonnage to sell and it is becoming increasingly fraught to get vessels delivered into a beleaguered recycling market.

The rebound on VLCCs has also just come at the right time, and to see Suezmax and Aframax tankers flying and even a rebound on Cape rates of late has seen most larger LDT vessels bypass the beaches once again as they have yet another chance at squeezing out a few more voyages.

There are also very few small(er) LDT vessels on the buffet and as such, it increasingly looks as though it will be as quiet an end to the year as it has been for the last two quarters. Certainly, it is time again for the recycling markets to get their affairs in order, ahead of an anticipated higher influx of vessels next year.

For week 40 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Weak	570 / LDT*	580 / LDT*	590 / LDT*
2	Pakistan	Weak	560 / LDT	570 / LDT	580 / LDT
3	India	Weak	550 / LDT	560 / LDT	570 / LDT
4	Turkey	Weak	240 / LDT	250 / LDT	260 / LDT

**Small LDT*

GMS wishes readers in China a Happy Golden Week / October holidays!

BANGLADESH

EMPTY HANDED!

Eerie silence.

An eerie silence has descended across the Bangladeshi market this week, with no reasonable or even firm offers to speak of, on any of the available units on offer as end Buyers prefer to wait-and-watch the market movements to see if there are further falls ahead.

Of late, targeting prices anywhere near USD 600/Ton seems to be a challenge unto itself and it may be a case of the local market seeing how truly starved of tonnage they are, before any sort of demand / hunger resumes – and hopefully at some more aggressive levels.

Losing out.

Unfortunately, fundamentals remain shaky and provide even less impetus for local Recyclers to be aggressive, especially as the Bangladeshi Taka weakened towards BDT 103 against the U.S. Dollar.

Moreover, Chattogram port report was a surprise this week, with a couple of large LDT vessels showing up, including a VLCC. Similar to a couple of stranded large LDT units at the waterfront, it remains to be seen just how these deliveries will be concluded.

Overall, the Chattogram market is in danger of losing out to a re-emerging Gadani altogether, and it is certainly isn't too long before the most trustworthy and performing Indian market makes a return to form, leaving Bangladesh empty-handed once again.

NO MARKET SALES REPORTED

INDIA

BARREN & IDLE!

The Indian market appears to be degrading even further as both a plummeting currency and steel plate prices declined during the week.

Plummeting.

The INR has become the greatest source of concern for Alang Buyers as the currency breached Rs. 82.50 against the U.S. Dollar, in what will clearly be the most stinging reason for Alang Buyers to be ultra-conservative on their bids in the near future.

Even local steel plate prices have been dithering and declined nearly USD 10/Ton during this time.

Record low tonnage.

As such, India remains at the bottom of the market rankings and is presently lacking any sort of confidence to offer anew on the small supply of vessels currently available, which is clearly evident by the virtually non-existent number of fresh arrivals at Alang's waterfront.

As we move towards the end of the year, it certainly seems that there is little hope for Alang to improve, unless the markets find their footing and the volume of tonnage increases.

NO MARKET SALES REPORTED

PAKISTAN

GLIMMER OF HOPE!

Currency appreciates.

There has been a glimmer of hope in Pakistan this past week, as the currency appreciated by over 2% (towards the PKR 221 mark against the U.S. Dollar), finally giving End Buyers a little bit of encouragement moving forward – especially after what has been a dramatically silent Q3 for this market.

The local sale of a Suezmax tanker at levels close to USD 600/LT has further encouraged End Buyers to get back into the swing at reasonable numbers, and it does seem that there is a growing demand emerging from this market.

Advantage.

Pakistan also holds an advantage over Bangladesh in less stringent L/C requirements from the government & even L/C opening banks (despite the dire depreciations on the currency) and as such, it could be that we see a greater number of large LDT vessels heading to Gadani shores before the year is out.

NO MARKET SALES REPORTED

TURKEY

SUSPENDED!

The situation in Turkey seems to be mirroring India, with both key fundamentals down in the dumps. The Lira remains of grave concern to local Buyers as it straddles a record-breaking TRY 18.60 against the U.S. Dollar.

Grave concern

Local and import steel prices, though marginally firmer this week, still remain so low that Aliaga Buyers feel suffocated in offering anywhere near firm levels.

The severity of the lack of tonnage isn't helping this market any and as such, we can only hope for a firmer 2023.

Firmer 2023.

NO MARKET SALES REPORTED

AMAZING FACTS

- *Onions were found in the eyes of an Egyptian mummy. Pharaoh Ramses IV of ancient Egypt had his eyes replaced with small onions when he was mummified. The rings and layers of onions were worshipped because people thought they represented eternal life. This aligns with the reason for mummification: to allow the pharaoh to live forever.*
- *Abraham Lincoln was a bartender. You know that the 16th president of the United States fought for the freedom of slaves and the Union, but what you didn't know is that he was a licensed bartender. Lincoln's liquor license was discovered in 1930 and displayed in a Springfield liquor store. According to Wayne C. Temple, a Lincoln expert, Congress wanted to fire Ulysses S. Grant in 1863 because he drank a lot, and Lincoln's response was to send Grant a supply of whiskey.*
- *Beethoven never knew how to multiply or divide. The renowned pianist went to a Latin school called Tirocinium, where he was taught some math but never learned multiplication or division—only addition. Once, when he needed to multiply 62 by 50, he wrote 62 down a line 50 times and added it all up.*
- *An espresso maker was sent into space in 2015. Samantha Cristoforetti was the first astronaut to get a warm and cozy piece of home sent to her while in orbit. The Italian Space Agency worked with Italian coffee manufacturer Lavazza to get the coffee capsules into space.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
October 05 – Vijaya Dashami October 09 – Eid-E-Milad October 24 – October 27 – Diwali	October 07 – October 25 October 25 – October 31

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
October 05 – Durga Puja October 09 – Eid-E-Miladun-Nabi (S)	October 08 – October 11 October 24 – October 27

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
October 1 – October 7 – National Day	October 9 – Eid October 24 – Founding Day	October 28 – October 29 – Republic Day

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ALANG - Port Position as of October 07, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Deed 1	1,986	General Cargo	Arrived September 29
2	Falcon Spirit	22,793	FSPO	Arrived October 06
Total Tonnage		**24,779**		

CHATTOGRAM - Port Position as of October 07, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	**Ariana**	**15,672**	**Tanker**	**Arrived June 22**
2	Beilun 6	8,015	Bulk Carrier	Arrived October 06
3	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
4	Oras	1,879	Container	Arrived September 27
5	Petrogas 5	904	LPG Tanker	Arrived October 06
6	Starlet	23,684	Bulk Carrier	Arrived October 04
7	Strovolos	9,368	Tanker	Arrived October 01
8	Uranus	39,198	Tanker	Arrived October 07
9	**Winton T128**	**975**	**Bulk Carrier**	**Arrived June 23**
Total Tonnage		**116,580**		

GADANI - Port Position as of October 07, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Cheval Blue	21,000	Tanker	Arrived October 03
2	Trainer	2,470	Crane Barge	Arrived October 06
Total Tonnage		**23,470**		

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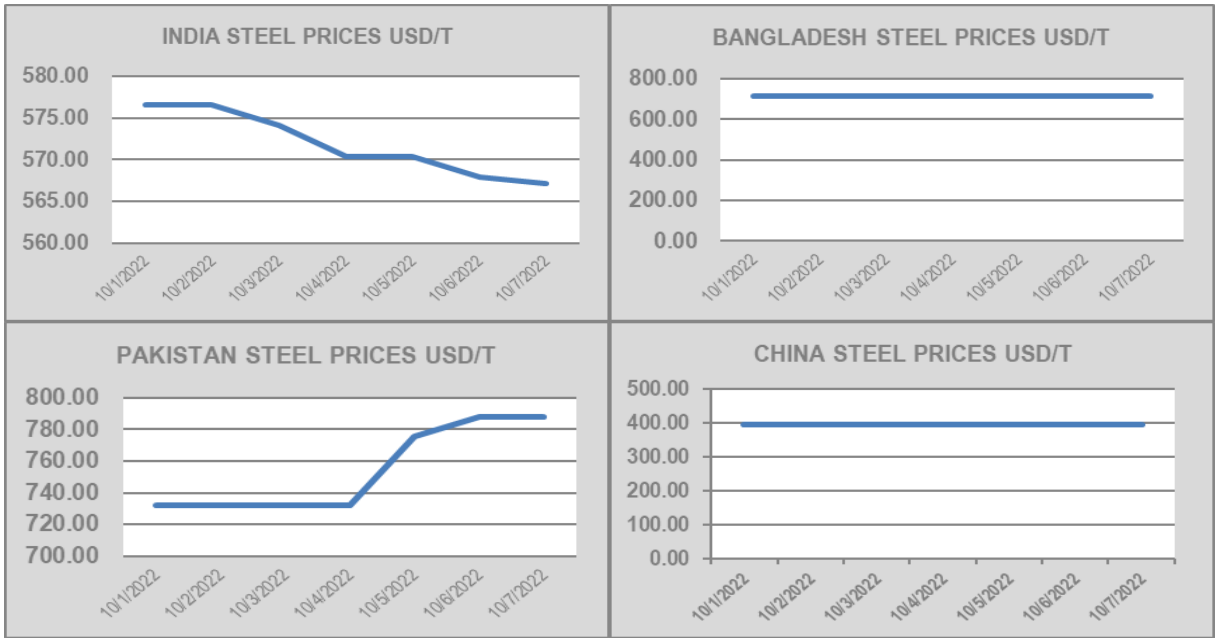
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
10/1/2022	576.59	46,900.00	732.22	175,000.00	717.17	71,000.00	397.90
10/2/2022	576.59	46,900.00	732.22	175,000.00	717.17	71,000.00	397.90
10/3/2022	574.08	47,000.00	732.22	175,000.00	717.17	71,000.00	397.90
10/4/2022	570.41	46,500.00	732.22	175,000.00	717.17	71,000.00	397.90
10/5/2022	570.41	46,500.00	775.78	173,000.00	717.17	71,000.00	397.90
10/6/2022	567.97	46,500.00	788.29	175,000.00	717.17	71,000.00	397.90
10/7/2022	567.09	46,700.00	788.29	175,000.00	717.17	71,000.00	397.90



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